

Role of SSIs in Economic Development

1. Provide Employment

- SSIs use labour intensive techniques. Hence, they provide employment opportunities to a large number of people. Thus, they reduce the unemployment problem to a great extent.
- SSIs provide employment to artisans, technically qualified persons and professionals, people engaged in traditional arts, people in villages and unorganized sectors.
- The employment-capital ratio is high for the SSIs.

2. Bring Balanced Regional Development

- SSIs promote decentralized development of industries as most of the SSIs are set up in backward and rural areas.
- They remove regional disparities by industrializing rural and backward areas and bring balanced regional development.
- They help to reduce the problems of congestion, slums, sanitation and pollution in cities. They are mostly found in outside city limits.
- They help in improving the standard of living of people residing in suburban and rural areas in India.
- The entrepreneurial talent is tapped in different regions and the income is also distributed instead of being concentrated in the hands of a few individuals or business families.

3. Help in Mobilization of Local Resources

- SSIs help to mobilize and utilize local resources like small savings, entrepreneurial talent etc., of the entrepreneurs, which might otherwise remain idle and unutilized.
- They pave way for promoting traditional family skills and handicrafts. There is a great demand for handicraft goods in developed countries.
- They help to improve the growth of local entrepreneurs and self-employed professionals in small towns and villages in India.

4. Pave for Optimisation of Capital

- SSIs require less capital per unit of output. They provide quick return on investment due to shorter gestation period. The payback period is quite short in SSIs.
- SSIs function as a stabilizing force by providing high output-capital ratio as well as high employment-capital ratio.
- They encourage the people living in rural areas and small towns to mobilize savings and channelize them into industrial activities.

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